Papua New Guinea - Grade 10 Business Studies Examination (2016)

Time: 2 Hours Total Marks: 100

Instructions:
1. Answer all questions.
2. Show clear workings where necessary.
3. The paper consists of Section A, B and C.

Section A: Multiple Choice (20 Marks)

1. A business is best defined as:
A. A government office B. An organization that sells goods and services C. A school D. A church

2. Profit is:
A. Total expenses B. Income minus expenses C. Sales only D. Government tax

3. Which is an example of a service business?
A. Bakery B. Transport company C. Farm D. Factory

4. Capital refers to:
A. Money invested in a business B. Workers C. Raw materials D. Buildings only

5. Marketing mainly involves:
A. Producing goods B. Selling and promoting products C. Paying wages D. Buying land

Section B: Short Answer (40 Marks)

6. Define the term “entrepreneur”. (4 marks)

7. Explain two types of business ownership in Papua New Guinea. (8 marks)

8. Describe the importance of small businesses in local communities. (8 marks)

9. State four functions of management in a business. (8 marks)

10. Explain the role of advertising in promoting products. (12 marks)

Section C: Structured Questions (40 Marks)

11. (a) Identify three factors of production. (6 marks)
(b) Explain how each factor contributes to business success. (8 marks)

12. (a) Define supply and demand. (4 marks)
(b) Discuss how price affects demand for goods in the market. (12 marks)

13. A small trade store is operating in a rural area.
(a) State three challenges the owner may face. (6 marks)
(b) Suggest solutions to improve the business performance. (10 marks)